

Korean Government and Local Incentives Available to Foreign Direct Investment in the Busan Gangseo AI Data Center Project

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Subject: Tax, financial, and regulatory incentives available to foreign direct investment in the 100 MW AI data center project at Gangseo-gu, Busan ("Project Bison")

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This memorandum sets out the principal tax, financial, and regulatory incentives that the Korean central government and the Busan Metropolitan Government make available to qualifying foreign direct investment in large-scale, high-value-added projects of this type.

Project Bison is, by its scale and character, a precise fit for the category of investment that the Korean government and the City of Busan most actively seek to attract. The combination of features described below makes the project a candidate to become a flagship example of Korea's national data center decentralization policy:

- **A 100 MW AI data center development**, with an indicative total project cost of approximately KRW [X trillion], of which approximately [20-30%] is contemplated as foreign direct investment (with the balance financed through Korean private project finance);
- **A completed KEPCO 154 kV / 100 MW power supply approval**, providing the build-ready power position that domestic developers currently spend two to four years securing;
- **Eligibility for the non-capital-region direct power supply route** available under the recently enacted Special Act on the Promotion of the AI Data Center Industry; and
- **A Master Off-take commitment from a Top Tier AI operator**, such as [Amazon Web Services, Microsoft, Google, or Oracle] providing a long-term anchor tenant of unquestioned international credit standing.

An important note on how these incentives are awarded.

The incentive figures set out in this memorandum are indicative only. The tax reductions, Cash Grant, and local subsidies described below are not granted automatically and do not arise from any fixed schedule. They are determined case by case, through a negotiation with the relevant central and local authorities, principally the Foreign Investment Committee of the Ministry of Trade, Industry and Energy and the Presidential Committee on Decentralization (Regional Era), based on the investor's formal application package and on the strategic value of the project to Korean national and regional priorities. The actual outcome for any given investor depends materially on the strength of the application, the manner in which the negotiation is conducted, and the project's alignment with the authorities' stated objectives. Sohnamu Global recommends that, on the strength of the Master Off-take letter of interest (LOI) from the Top Tier operator with inbound capital plans, an early package-incentive negotiation (MOU) be initiated with Busan City. The strength of the initial package is materially influenced by the timing and completeness of this approach.

In parallel, in arranging the Korean private project finance component of project debt financing, an investor may obtain materially favorable pricing by combining standard commercial facilities with government-supported programs, such as the central government's Advanced Industry Infrastructure Finance Support Program and the Korea Development Bank's preferential lending facility for regional anchor enterprises. These programs are designed precisely for strategic, regionally located projects of this character.

Summary of Key Incentives

The table below summarizes, at a high level, the principal incentive categories available to qualifying foreign investments in Project Bison. Each item is set out in greater detail in the sections that follow. All figures are indicative ranges that reflect the framework of currently applicable statutes, ordinances, and administrative practice, and the actual terms for any given investor depend on the outcome of the negotiation with the relevant Korean authorities.

Category	Incentive	Indicative range	Reference
Central Government, Foreign Investment Promotion Act	Corporate and individual income tax reduction (subject to advanced-technology designation)	Up to 100% exemption for 5 to 7 years, then 50% reduction for a further 2 years	Section 1.1
	Customs duties, individual consumption tax, and VAT on imported AI computing and HVAC equipment	Up to 100% exemption for up to 5 years	Section 1.1
	Cash Grant (foreign investor holding 30%+ of project entity)	Typically 10% to 30% of qualifying land and equipment costs	Section 1.2
Busan Metropolitan Government	Acquisition tax on site and building	Up to 75% to 100% reduction in qualifying cases	Section 2.1
	Property tax on completed facility	Up to 100% exemption for 5 years, then 50% reduction for 3 to 5 years	Section 2.1
	Regional Investment Promotion Subsidy: site component	Up to 10% to 20% of land acquisition cost	Section 2.2
	Regional Investment Promotion Subsidy: equipment component	Defined proportion of qualifying equipment investment	Section 2.2
Distributed Energy Act and Power	Direct Power Purchase Agreement route (non-Seoul-region facility)	Long-term operating-cost reduction; precise terms subject to implementing decree	Section 3.1
	Grid infrastructure coordination	Administrative fast-track and priority coordination with KEPCO	Section 3.2
Special Act on the Promotion of the AI Data Center Industry	Building and land-use regulatory relief (floor-area ratio, height, facility standards)	Targeted relief consistent with AI campus design requirements	Section 4.1
	Preferential consideration for Korean public-sector cloud and AI workloads	Favorable weight in qualifying procurement	Section 4.2
Private Project Finance	Advanced Industry Infrastructure Finance Support Program; Korea Development Bank preferential lending for regional anchor enterprises	Combined with commercial facilities to reduce blended cost of debt	Opening framing

The ranges in the table are illustrative of what Korean statutes and ordinances permit at their upper end. The actual outcome reflects, in each case, the strength of the application, the strategic value the authorities attribute to the project, and the conduct of the negotiation.

1. Foreign Investment Promotion Act Incentives

The [KRW X trillion] of direct foreign capital investment qualifies as foreign direct investment (FDI) under the Foreign Investment Promotion Act and is eligible for the highest level of statutory benefit available under Korean law.

1.1 Tax Reductions (Subject to Designation as an Advanced Technology and Products Business)

Corporate income tax and individual income tax. If the core equipment of the AI data center, including high-performance GPU servers, liquid cooling systems, and related infrastructure, is recognized as falling within the advanced technology field, the project may be eligible for full corporate income tax exemption for up to five to seven years, followed by a 50 percent reduction for a further two years. The investor and Sohnamu Global will pursue this designation with the relevant authorities.

Customs duties, individual consumption tax, and value-added tax. High-value AI computing equipment and HVAC systems imported for the construction and equipping of the data center are eligible for full exemption from customs duties, individual consumption tax, and value-added tax for a period of up to five years. Given the scale of the equipment program required for a 100 MW AI facility, this materially reduces initial capital outlay. At the same time, it is worth noting that Korea world class capabilities with respect to the supply chain for data center construction.

1.2 Cash Grant

Where a foreign investor holds 30 percent or more of the project entity, and the project creates substantial new employment, the central and local governments may co-fund, by means of a direct cash payment, a portion of the costs of site preparation and facility construction.

The scale of the grant is determined through negotiation and is set as a percentage of qualifying land and equipment costs, within a range that typically reaches 10 to 30 percent of those costs in cases of this strategic importance. For a project of Project Bison's scale, this represents a material contribution: on land acquisition and infrastructure costs alone.

2. Busan Metropolitan Government Tax and Financial Support

The Busan Metropolitan Government has enacted dedicated ordinances and committed budgetary resources to attract advanced data center investment. The principal instruments available to a project of this scale are as follows.

2.1 Local Tax Reductions (Local Tax Special Treatment Restriction Act and Busan City Ordinances)

Acquisition tax. The acquisition tax payable upon acquisition of the data center site and the building is subject to reduction of up to 75 percent, and in qualifying cases up to 100 percent exemption.

Property tax. Following completion, the property tax payable on the building and the underlying land may be fully exempted for five years, with a 50 percent reduction for a further three to five years thereafter.

2.2 Busan Regional Investment Promotion Subsidy

As a new investment outside the Seoul metropolitan area, Project Bison qualifies as a regional investment under the Busan Metropolitan Government's incentive framework. Within available regional budgetary resources, the City may provide:

- **A site subsidy of up to 10 to 20 percent of land acquisition cost;** and
- **An equipment subsidy** representing a defined proportion of qualifying equipment investment.

Where a project qualifies for the special treatment applicable to large enterprises and to foreign-invested enterprises, the applicable ceilings on these subsidies may be raised through effective negotiation.

3. Distributed Energy Act and Power-Related Incentives

Under the Distributed Energy Activation Act, effective June 2024, and the central government's broader policy of power-system decentralization, non-Seoul-region data centers are eligible for a set of differentiated power benefits that materially affect operating economics.

3.1 Direct Power Supply for Non-Seoul-Region Facilities

Gangseo-gu, Busan, where the site is located, is among the areas being designated as a Distributed Energy Special Zone. Within such a zone, a qualifying data center may, in addition to its standard KEPCO supply, contract for power directly from nearby generators (Direct Power Purchase Agreement), without routing that power through KEPCO's transmission and distribution network. Since electricity is the single largest component of data center operating expenditure, this direct procurement route offers the potential for material long-term operating-cost reduction over the life of the asset.

3.2 Grid Infrastructure Support

In connection with the substation and grid infrastructure required to deliver the approved 100 MW supply, the project is positioned to receive administrative fast-track treatment and priority infrastructure coordination from the Busan Metropolitan Government and KEPCO.

4. Special Act on the Promotion of the AI Data Center Industry

The Special Act on the Promotion of the AI Data Center Industry was passed by the Korean National Assembly on 7 May 2026 and is expected to take effect in approximately February 2027, following Cabinet approval and the prescribed transition period. The Act, together with related regulatory measures now being prepared, provides a further set of benefits relevant to Project Bison.

4.1 Building and Land-Use Regulatory Relief

In recognition of the distinctive design characteristics of a modern AI data center, including elevated floor-to-floor heights, high concentrated electrical loads, and large-scale cooling installations, the Act and associated municipal regulations support targeted relief from the standard building, floor-area-ratio, and height-restriction requirements that would otherwise apply within Busan industrial zones. This is intended to enable the efficient vertical campus form best suited to a 100 MW AI facility on a parcel of this size.

4.2 Connection to Public-Sector Cloud Demand

While the Master Off-take with the Top Tier anchor tenant will account for the principal portion of the facility, any residual capacity, or a defined hybrid operations zone within the facility, may be eligible for preferential consideration in connection with the migration of Korean central government and Busan Metropolitan Government workloads to public-cloud and AI infrastructure. The central government and the City are expected to give favorable weight to qualifying domestic AI data centers in such procurement, providing an additional avenue for facility utilization.

Closing Observations

Project Bison combines, in a single asset, several characteristics that the Korean national authorities and the Busan Metropolitan Government have explicitly prioritized: scale, advanced technology, non-Seoul-region location, substantial foreign direct investment, the creation of meaningful regional employment, and an anchor tenant of leading international standing. These characteristics align the project with the highest tiers of available incentive support.

Sohnamu Global's recommendation is that the incentive package should be developed in three coordinated workstreams, in parallel rather than in sequence:

1. Formal application for Foreign Direct Investment status under the Foreign Investment Promotion Act, supported by a documented inbound capital plan and the executed Master Off-take letter from the Top Tier anchor tenant;
2. An incentive Memorandum of Understanding with the Busan Metropolitan Government Investment Promotion Division, encompassing local tax reductions, the regional investment subsidy, and infrastructure coordination; and
3. Early engagement with the Ministry of Trade, Industry and Energy and the Presidential Committee on Decentralization regarding the central government incentive package, including the Cash Grant and the advanced technology designation.

Sohnamu Global is well placed to coordinate these workstreams on the investor's behalf, to manage the relationships with the relevant Korean authorities, and to structure the project to maximize the available incentive support.

Note on this memorandum.

The incentive amounts and percentage ranges set out in this memorandum, including those in the summary table on the preceding pages, are to be determined. Project Bison is likely to be positioned in the upper end of what currently applicable Korean statutes, ordinances, and administrative practice permit. The final terms of any incentive package depend on the formal designation decisions of the relevant Korean authorities and on the outcome of the negotiation between the investor and those authorities. The actual outcome for any given investor will reflect the strength of the application, the strategic value attributed to the project, and the conduct of the negotiation, and may differ, in either direction, from the indicative ranges shown. This memorandum is prepared for the purpose of evaluation and does not constitute legal, tax, or financial advice.

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